

INEFFICIENT DISTRIBUTION

Deficits rise as a third of the power produced is lost to theft, wastage

AGGREGATE TECHNICAL & COMMERCIAL LOSSES

STATES	2001-02	2005-06
Bihar	66.02%	67.46%
Maharashtra	46.34%	50.22%
Madhya Pradesh	48.66%	50.35%

PEAK HOUR DEMAND DEFICIT

Haryana	13.1%
Himachal Pradesh	0
Jammu & Kashmir	14.4%
Rajasthan	14.6%
Uttarakhand	10.6%
Chandigarh	6.4%
Delhi	6.6%
Bihar	16.9%
Meghalaya	33.1%
Gujarat	30.2%
Chhattisgarh	27.5%
Maharashtra	27.4%
Punjab	26.9%
Madhya Pradesh	20.8%
Uttar Pradesh	18.0%

INADEQUATE GENERATION

With 50 per cent achievement, there is a chronic failure in meeting the targets



TARGET

ACHIEVEMENT

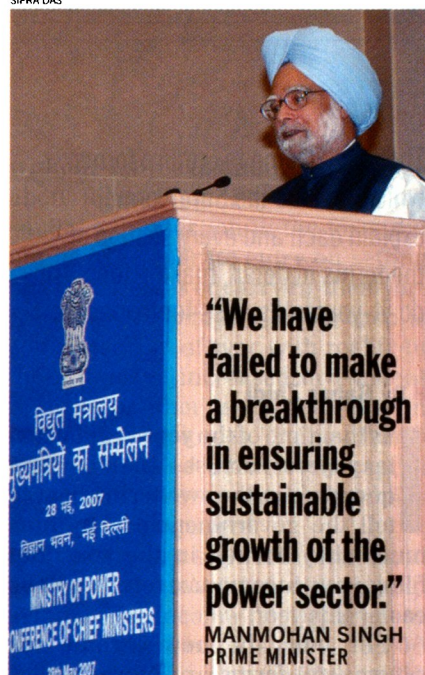
per cent in Bihar, Maharashtra and Madhya Pradesh. AT&C losses have touched Rs 47,000 crore a year—equal to the UPA's allocation to poverty alleviation last year. "The states have to treat electricity as a manmade commodity. Not gifted by God. It must be paid for. Until that realisation comes, this sector will continue to be a problem in the states," power secretary Anil Razdan told the Parliamentary Standing Committee on Energy (PSC) last month.

The cost of inertia will be huge. Already, even 60 years after Independence and despite the UPA's claims of an *aam admi* agenda, one in two rural households does not have an electricity connection. And according to an estimate, the GDP growth rate of 9.4 per cent may well have been 10 per cent but for the crunch. The steep industrial growth at a new high of 12 per cent could fall flat. The likelihood of that still hasn't beeped on the states' radar. At a time when factories are losing one of the three daily shifts to load-sheddings, 27 per cent of the electricity produced is diverted to vote banks of the farm sector. That too, subsidised. Or free, if in Punjab or Tamil Nadu.

Biting the bullet on power politics can control the losses. States are, however, in reverse gear. Former power minister Suresh Prabhu had egged Jayalalithaa-ruled Tamil Nadu and Congress-governed Punjab and Madhya Pradesh into abolishing free power in 2003. But they reintroduced it within months as a poll gimmick. After the enactment of the Electricity Act in 2003, states have to foot the bill for their power profligacy. They still pass on part of the burden to the distributors by not installing meters so that supplies aren't measured. Gujarat and Andhra Pradesh are exceptions. Meters at the transmission source have helped cut their AT&C losses to 24 per cent and 16 per cent respectively.

Worse, despite the shortfall, even existing capacity is not being utilised. In Andhra Pradesh, 1499 MW is ready for commissioning but doesn't have fuel link-

SIPRA DAS



age. For almost three years now, an empowered Group of Ministers has deliberated but failed to re-start the 2019 MW Dabhol plant at Ratnagiri in Maharashtra. Even the skew or the bias towards thermal power plants is not being corrected. Of the total hydel potential of 1.5 lakh MW, only 30 per cent has been exploited. In 2004-05, only 5 per cent of what was generated by captive plants was made available for sale.

The UPA's latest mantra, 4000 MW ultra mega power plants (UMPPS), too seems to have tripped. Investors queued up for profitability and scale. However, only two of the nine planned have been awarded and even they—Lanco in Sasan, Madhya Pradesh, and Tata Power in Mundra, Gujarat—are stuck since December 2006 in controversy and clearances. Even if cleared, Razdan confessed to the PSC that not

even a unit of any of the nine UMPPS would be ready by 2012. The government, however, is preening on a target of 68000 MW for 2008-12, which is three times the achievement in the last five years. It is a formidable target. If the committee approach adopted at the power conference is any indication, power-cuts are here to stay. ■

27%
of total power goes to farm sector. States spend Rs 11,000 cr a year on subsidies that can be used to set up 11 ITs.